

Article | 3 June 2026

A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting



Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.



Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

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Article | 2 June 2026

FX UNITED KINGDOM UNITED STATES

Webinar: War, oil, and stagflation – The central bank stress test

Join ING's economists and strategists for a live webinar on 8 June to discuss the widespread fallout of the Iran war and the difficult choices ahead for global central banks. Sign up [here](#)



If central banks were hoping for clarity on the Middle East by their June decisions, they're likely to be left bitterly disappointed. Energy prices are down but the Strait of Hormuz remains far from open. Inflation is climbing and with every passing day, supply chains become ever more disrupted. Yet economies, particularly in Europe, are starting to show the strain. The case for rate hikes is far from clear-cut.

[Join ING's economists and strategists](#) for a live 45 minute discussion of the forthcoming central bank decisions. You'll learn:

- Why an ECB rate rise looks like a done deal in June – and why this could be a one-off
- The outlook for growth and inflation across the US and Europe
- Whether the Fed could really hike rates this year – and why officials are turning more hawkish
- Why the Bank of England is proving more reluctant to hike rates than the ECB and why a hike is far from guaranteed
- Where EUR/USD could trade over the summer in different oil price scenarios

Details

Date: Monday 8 June

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 45 minutes, including Q&A

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively



Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. [A major part of global fertiliser and fertiliser feedstock](#) remains exposed. While an extension of the ceasefire [could see a resumption in flows](#), the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of '[the beginning of a systemic agrifood shock that could trigger a severe global food price crisis](#)'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest

limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

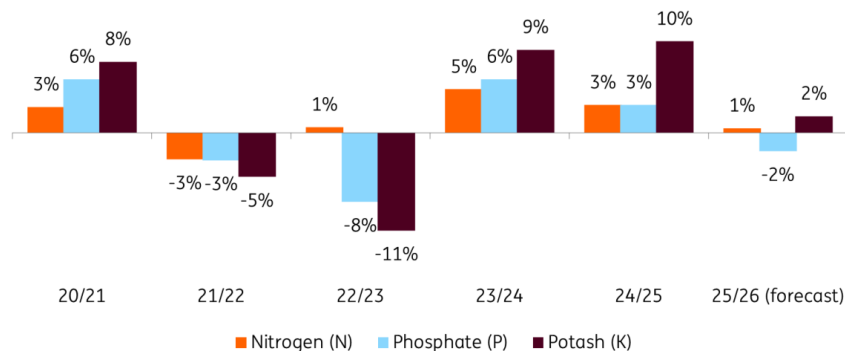
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use



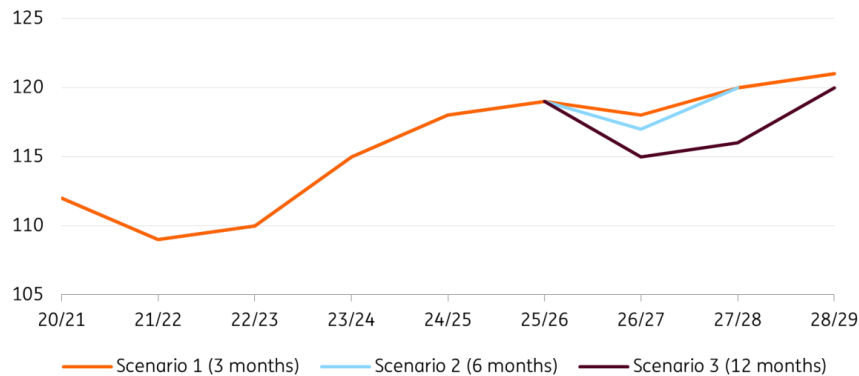
Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its [Fertiliser Action Plan](#),

which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute ([IFPRI](#)). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely \$4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

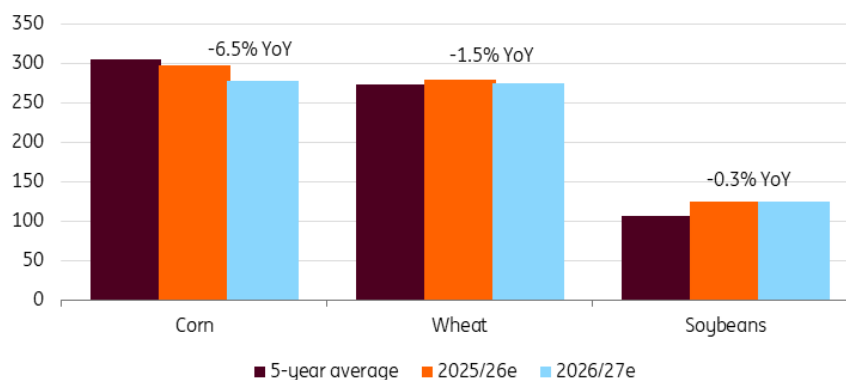
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US\$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if

fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

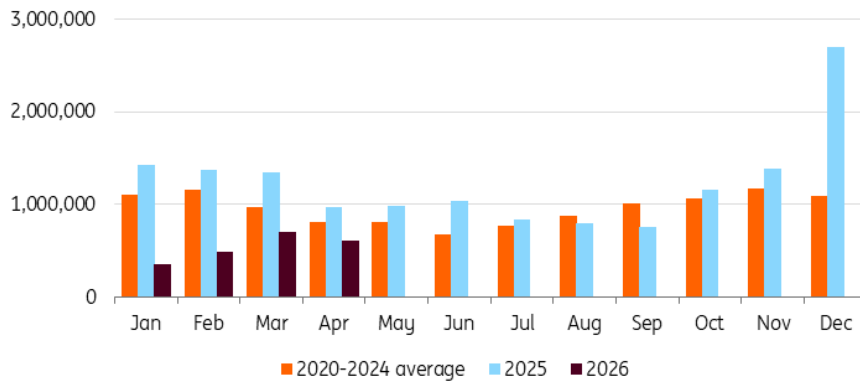
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration [is forecasting](#) an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers – several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower

application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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Article | 29 May 2026

FX

USD/JPY: Largest quarterly intervention since 2004

The Japanese Ministry of Finance has today released FX intervention figures for the period of 28 April to 27 May. It confirms that the Bank of Japan sold JPY11.735tr (around \$74bn). This will mark the largest quarterly FX intervention since 2004. It's an impressive figure, but unless oil or US rates turn dramatically lower, USD/JPY will stay bid



Sizable intervention

Figures released by Japan's MoF earlier today confirm that the BoJ undertook JPY11.735tr of FX intervention in the 28 April to 27 May window. That intervention likely started on 30 April, driving USD/JPY from above 160 to below 156 and was followed up potentially over the next four trading sessions.

The size confirmed today is large. In fact, looking at the quarterly intervention figures, one has to go back to 2004 to see any activity as large in a single quarter.

Back in early 2004, the BoJ was intervening almost daily in an effort to keep USD/JPY above 100 at a time of a prevailing dollar bear trend – this after the Federal Reserve had cut its policy rate to 1.00% after the dot-com bubble burst.

Since then, FX intervention has been more modest and less frequent.

In fact, there is some speculation that Japanese policymakers feel constrained by the IMF's FX regime classification system. More frequent intervention – beyond three 'instances' in a six-month period – could see Japan's FX regime re-classified as 'floating' instead of 'free floating' – which would be more in line with regimes in Brazil and Chile than Japan's G7 peers.

BoJ FX intervention versus USD/JPY



Source: Japanese Ministry of Finance, ING

Policymakers will struggle to turn the tide

With USD/JPY already trading back near 160, it is hard to make the case that this year's Japanese FX intervention has been effective. Back in 2024, FX intervention was a success because the speculative market was heavily short yen and US rates were turning lower ahead of a Fed easing cycle starting that September.

Today, the speculative market is far less short yen and if anything, the Fed could be swinging behind a hike for its next move rather than a cut. Our call is that the BoJ will likely be called into action again over coming months as USD/JPY pushes through 160 again. This also has implications for US Treasuries, as Japanese authorities appear to sell Treasuries to finance FX intervention. Japanese holdings of US Treasuries fell around \$100bn in 2024 – roughly consistent with FX intervention amounts that year. Remember as well that FX selling operations are finite and limited by the size of FX reserves. Japan has large reserves at over USD1tr, but will not want to lose 20-30% of them.

Unless the BoJ can somehow get 'ahead of the curve' and drive real interest rates higher, it is hard to see the USD/JPY situation changing over coming months. [ING is looking for a BoJ rate hike](#) on 16 June (now priced with a 78% probability), but the BoJ will have to deliver a very

hawkish hike to reverse the recent shift in real interest rate differentials against the yen. That would somehow require the BoJ to manage expectations of a policy rate (now 0.75%) heading above 1.50% next year – which might be difficult in the current political environment.

Until then, we expect USD/JPY to stay bid near 160 over coming months and possibly push into the 162/163 area. Our call for 155 by year-end very much relies on US consumption stalling and the Fed reconsidering rate cuts. That is increasingly looking like a story for later in the year and the near term focus will be on the growing Fed hawkishness.

Real interest rates keep USD/JPY supported



Source: ING calculations

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Article | 5 June 2026

FX

FX Daily: Subdued oil volatility preventing USD breakout

Upside volatility in oil prices has remained surprisingly limited, considering the lack of tangible progress in US-Iran negotiations. That is preventing the dollar from breaking higher despite the strong macro backdrop. Still, we expect another solid US jobs report today, underpinning the firm USD momentum



Another solid US jobs report today should further support the US dollar's current momentum

↑ **USD: Payrolls should remain USD supportive**

Brent's inability to trade back to \$100/bbl remains a bit baffling. The longer the supply disruption lasts, the more vulnerable the oil market should be and, in theory, face greater upward volatility whenever de-escalation hopes aren't fulfilled. Our commodities team also notes that total inventory draw over the last month and a half has been 32m barrels, and even if the Strait of Hormuz flows resume today, inventories are likely to continue to tighten into the third quarter, leaving upside risk to prices.

To keep oil prices at these levels, there must therefore be a big deal of optimism about a peace deal baked in. This is preventing the USD from breaking higher in an environment that is otherwise materially stronger than a month ago for the greenback thanks to hawkish Fed repricing.

Today's US May jobs report will test rate expectations. We look for payrolls slightly above

consensus (100k vs 88k) and unchanged unemployment at 4.3%. Markets are awaiting the catalyst to leap into fully pricing in a rate hike by the Fed this year (now 17bp) – an upside surprise today could be that. A near-consensus print would probably only cement recent hawkish moves and create a firmer floor for the dollar whilst awaiting news from the Gulf.

Francesco Pesole

↓ **EUR: Risks remain on the downside**

EUR/USD bounced around yesterday, but remains stuck in a 1.160-1.1650 range that has held for most of the past two weeks. It's still quite telling that the pair is trading about 1.5% lower than when oil was at these levels in April.

The partial disconnect with oil prices remains a clear testament to the short-term rate differential returning as a more prominent driver for EUR/USD, something that is confirmed by the beta in our short-term fair value model.

We continue to view next Thursday's European Central Bank meeting as a moderately positive euro catalyst, with a hawkish 25bp hike expected. Until then, risks remain skewed towards a break below 1.160, absent tangible progress in US-Iran negotiations.

Francesco Pesole

↓ **CAD: Hoping for some stabilisation in jobs**

Canada releases May's job market data at the same time as the US today. The narrative here has been less constructive. April figures were poor, with unemployment jumping to 6.9% and 17.7k net job losses.

Consensus is looking at a stabilisation today: 6.9% and +10k. But unless we see unemployment inch back lower, the contribution of the jobs market to the Bank of Canada policy will remain dovish.

The USD/CAD two-year swap rate gap has widened by around 25bp to its highest level since pre-liberation day. That has underpinned the recent rally in USD/CAD, alongside the first signs of risk premium emerging about the USMCA renegotiations.

Our view remains more dovish than the market on the BoC, which still appears to have a higher bar for hiking rates than the Fed due to domestic economic challenges and uncertainty about the USMCA.

So, while our call beyond the short-term still leans USD bearish, we remain less excited about the potential of the loonie relative to other commodity currencies (the Australian dollar, New Zealand dollar, and Norwegian krone). In the coming days, the risks of a test of 1.40 in

USD/CAD are non-negligible.

Francesco Pesole

➔ CEE: June CNB meeting set to be lively amid rate hike potential

The end of the week in CEE will see some interesting numbers, with attention shifting to Turkey's May CPI data. The market expects stagnation at around 32.50% year-on-year with a visible slowdown to 1.6% month-on-month from 4.2%. This would mean some relief from the accelerating momentum since the beginning of the year. Still, the Central Bank of Turkey is not in a position to win here, with significant current account exposure to the US-Iran conflict and an unclear inflation path for the rest of the year.

Meanwhile, in Hungary, industrial production figures for May will be published today after retail sales figures showed a decline yesterday. In the Czech Republic, retail sales should show consumer sentiment after yesterday's wage figures surprised to the upside.

Yesterday's inflation in the Czech Republic surprised to the downside with a drop from 2.5% to 2.1% YoY, which caught the market on the hawkish side after the Czech National Bank's comments about a possible rate hike at the June meeting. Although we saw a quick rally after the morning numbers, by the end of the day we still ended with almost an entire rate hike priced in. Wage numbers surprised to the upside, providing a further hawkish note to the story.

The June meeting will be lively, but the outcome is unclear for now. Our economists' baseline expectation is no change, but our side of the probabilities is more towards a rate hike. EUR/CZK stabilised around 24.200 and, after some long months, it has come out of the usual ranges. We could hear more from the CNB next week, which should help to decipher its direction moving forward.

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Article | 5 June 2026

ASIA WEEK AHEAD CHINA INDIA

Asia week ahead: China and India inflation, Taiwan and China trade

Inflation data from India and China are the highlights of the week. Other releases include trade figures from Taiwan and China



Asia Research highlights of the week

[China's mixed PMI data suggests economy is muddling through](#)
[Hotter-than-expected prices put South Korea on track for July rate hike](#)
[South Korea trade remains strong, but currency pressures persist](#)
[Stronger growth in Japan supports June rate hike despite softer inflation](#)

India: Risks on inflation remain skewed to the upside

India's CPI inflation is expected to pick up to 3.9% year-on-year in May from 3.48% in April, though it should remain below the Reserve Bank of India's 4% target. Domestic gasoline prices rose by around 8% over the month. Yet the increase remains modest compared with fuel price trends elsewhere in Asia. The key risk to the outlook lies in potential second-round effects on food inflation. Fertiliser shortages, alongside the rising probability of an El Niño event, could

exert upward pressure on food prices in the coming months and warrant close monitoring.

China: Higher tech prices continue to boost China trade

China's May trade data, out Tuesday, are expected to show exports up 19.5% YoY and imports up 36.4%, for a trade surplus of \$86.5bn. Both exports and imports have generally exceeded expectations so far this year. This is thanks in part to higher tech prices, which are boosting both export and import prices. China's trade profile has increasingly tilted toward tech-related trade. China will also publish its inflation data on Wednesday. We expect the deflation trend to continue in May, with CPI inflation edging higher to 1.3% YoY.

Taiwan: Strong export data amid AI demand

Taiwan releases its May trade data on Tuesday. We're looking for continued strong growth, with exports rising 33.5% YoY and imports rising 37.4%, resulting in a trade surplus of \$15.5bn. Strong export orders from previous months suggest external demand remains robust amid the AI boom.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 8 June				
Japan	0750	Apr Current Account (JPY bn)	-	4682
	0750	Q1 GDP Growth (QoQ%)	0,4	0,5
Tuesday 9 June				
China	0700	May Exports (YoY%)	19,5	14,1
	0700	May Imports (YoY%)	36,4	25,3
	0700	May Trade Balance (USD bn)	86,5	84,8
South Korea	0700	Q2 GDP Growth Revised (QoQ%/YoY%)	1.7/3.6	1.7/3.6
Taiwan	1600	May Imports	37,4	29,2
	1600	May Exports	33,5	39
	1600	May Trade Balance (USD bn)	15,5	14,4
Wednesday 10 June				
China	0930	May CPI (YoY%)	1,3	1,2
	0930	May PPI (YoY%)	-	2,8
Japan	0750	May PPI (MoM%/YoY%)	-/-	2.3/4.9
Indonesia	1100	May Consumer Confidence Index	-	123
South Korea	0700	May Unemployment Rate	2,7	2,8
Thursday 11 June				
Indonesia	1100	Apr Retail Sales (YoY%)	-	3,4
Friday 12 June				
India	1830	May CPI Inflation (YoY%)	3,9	3,5

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Article | 5 June 2026

COMMODITIES DAILY UNITED KINGDOM

The Commodities Feed: Oil slides despite stalled US-Iran talks

The oil market continues to trade on expectations of an imminent resumption in energy flows from the Persian Gulf. This leaves significant upside risk as inventories fall and we move closer towards the stronger demand period of the third quarter



Energy - Oil product inventories fall in Europe and Singapore

While there are few signs of progress in US-Iran talks, the oil market continues to trade on expectations of an imminent deal that would resume flows through the Strait of Hormuz. This seems overly optimistic as Hezbollah rejects the Lebanon-Israel ceasefire. This development will not help US-Iran negotiations.

Sizeable inventories in the lead-up to the war have provided a buffer for the market. This buffer is shrinking with every passing day. With the seasonally stronger summer still ahead of us, we could see demand grow by more than 3m b/d quarter-on-quarter in the third quarter. The pace of inventory declines will only intensify through the July-September period. This will leave the market increasingly vulnerable and would require significantly higher prices to ensure demand destruction through the summer. As we've seen since the war began, demand destruction does not need to come solely from higher crude oil prices -- a lot of damage can be done by higher refined product prices.

In Europe, refined product inventories in the ARA region fell by 17kt week-on-week to 4.4mt,

according to Insights Global. Gasoline and jet fuel saw the largest declines, with stocks falling 81kt and 49kt, respectively. The drop in jet fuel inventories left stock levels at their lowest since 2020. The market has been worried over availability through the summer. Still, increased inflows from the US and other regions, combined with refiners boosting jet fuel output, helped ease much of the expected market tightness. However, as refiners shift yields toward jet fuel, other products—especially gasoline and diesel—face a heightened risk of further tightening.

Aligned with the inventory-tightening narrative, Singapore oil product stocks fell by a significant 6.14m barrels over the last week. This is the largest weekly decline since December 2024. It also leaves total stocks at their lowest level since October 2024. While the decline was led by light distillates, product inventories across the barrel saw declines over the week.

US natural gas futures moved higher over the latter part of this week, with the latest storage data from the EIA providing a further boost. US natural gas storage increased by 95bcf last week, below the 99bcf increase expected and also lower than the 5-year average increase of 101bcf. Gas flows to LNG export plants have been picking up following seasonal maintenance, supporting prices. In the medium- to long-term, the outlook for Henry Hub is less constructive than it was pre-Iran war. Increased drilling activity on the oil side will lead to higher associated natural gas production, leaving the US natural gas market relatively better supplied through 2027.

Metals – Gold rebounds

Gold rose nearly 2% in yesterday's session, briefly pushing above \$4,500/oz, as a tentative ceasefire between Israel and Lebanon reduced immediate geopolitical risk. Yet prices have come under pressure once again as Hezbollah rejects the ceasefire. Despite the recent rebound, gold remains well below its earlier peak and has been trading in a relatively narrow range in recent weeks. In the near term, gold will likely remain range-bound, with direction driven by US rates, the dollar, and inflation.

In base metals, LME copper edged higher, supported by tightening availability. Cancelled warrants increased sharply, driven by activity in New Orleans, and now account for around 37% of total LME inventories (vs. 5% pre-conflict). On-warrant inventories fell to their lowest since late February, reinforcing the tighter physical backdrop and supporting prices alongside ongoing tariff-related arbitrage flows.

In ferrous metals, SGX iron ore fell for a second consecutive session, hitting its lowest level since early March. Prices remain under pressure from rising supply and weak seasonal steel demand in China, as well as from margin compression due to higher coking coal costs. Steel inventories at major Chinese steel mills fell to 15.8mt in late May, down 15.7% compared to mid-May, according to data from the Chinese Iron and Steel Association (CISA). However, steel inventories are still 3.5% higher than in the same period last year. Crude steel production at major mills fell 4.3% from mid-May to 2.01mt/d in late May.

Agriculture – Corn weakens on improving US crop prospects

CBOT corn prices declined for a fifth consecutive session to their lowest level since late January. Improved yield prospects, driven by wet weather across key US growing regions, weighed on prices and eased global supply concerns. The USDA reported that most planting was completed last week, with 67% of the crop rated good-to-excellent. Additionally, weather forecasts indicate continued rainfall across the US Midwest, which will support soil moisture and reduce drought risk. Wheat prices also softened as improving crop conditions offset earlier dryness, easing concerns. Drought coverage in winter wheat regions declined to 67% (week ending 2 June), down from 69% the prior week, though still significantly above 12% a year earlier.

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THINK economic and financial analysis

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Article | 4 June 2026

RATES SPARK

Rates Spark: Heading into payrolls looking for something

Market rates have been remarkably steady of late. Long end rates are holding to elevated tendencies that built in recent months, while shorter tenor rates are being bolstered by ongoing rate hike threats. Trying not to mention the war, but... Iran remains a factor. Yet, as a steady-state tolerable negative, it's proving less impactful. Payrolls next



It's payrolls Friday. Even though it's lost some of its lustre, the unemployment rate is the number to watch

Payrolls incoming

It's payrolls Friday. The report itself has lost some of its aura, partly on question marks as to its accuracy (it is mostly just a survey after all). But also, the US economy has become a more complex beast to track. Even on very little expectation for employment growth, risk assets aren't perturbed at all. Bond markets typically would be on major alert into payrolls reports, but less so in recent months.

That all being said, it remains an important barometer of the labour market, and absolutely sets the tone for the months ahead. The market expectation is for employment growth of around 85k. That's an outcome that can only be described as 'meh'. But it's actually okay in the current economy, one that has the promise of a productivity revolution premised on tech

and AI underpinnings.

It's here that we identify a link with real yields, and a rationale for them to remain elevated. See more on that [here](#) and [here](#).

We'll monitor the rest of the report too, with the unemployment rate a particular focus. At 4.3%, it remains low, defying all the lay-off talk. The low jobless claims run we've been on, and again re-confirmed on Thursday, points to the same. It does feel we're overdue a lurch higher on these metrics at some point. And for Treasury bulls, that is the type of outcome that can shake off the risk that real yields remain sticky, and with more upside than downside tendencies.

Overall, the remarkable feature of the anticipated payrolls outcomes is that they would typically result in a bond buying spree. Traditionally, it was all about the employment growth number. But the current immigration policy of forcing marginal workers out of the country is a curb to this number. The unemployment rate was typically not the big one to watch. More recently, it's actually the unemployment rate that really counts. That's the one that should measure best the pushes and pulls between the tech rally implications for employment. If we stick at 4.3%, then we just move on to the next number.

Friday's events and market view

The highlight will be the US payroll data, whereby consensus sees the May nonfarm number fall from 115k to 85k. The unemployment rate is expected to stay at 4.3%. From the eurozone, we'll first have final GDP figures for first quarter 2026, but we don't expect this to be market moving.

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Article | 4 June 2026

CZECH REPUBLIC

Favourable Czech inflation sharpens focus on June CNB meeting

Czech inflation slowed in May, with headline, core, services and goods measures all softening. Recent hawkish signals from the Czech National Bank have prompted the market to price in a June hike. We take the view that the Bank should deliver a hawkish hold and wait to see the impact of the Hormuz shock. But a hike cannot be ruled out

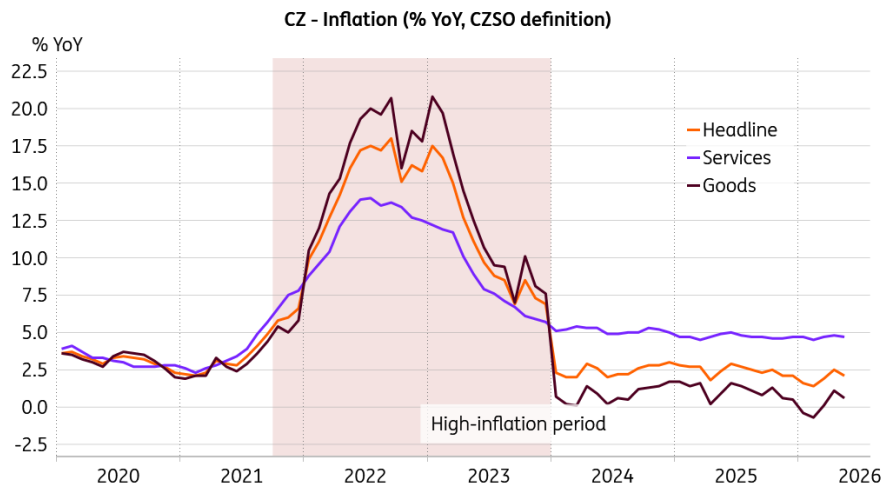


We expect policymakers to remain in wait-and-see mode at the CNB's 18 June meeting, with more hawkish commentary likely to materialise

Headline and core inflation slow down

Czech headline inflation slowed to 2.1% in May, coming in below market expectations but in line with the Czech National Bank's spring forecast. Core inflation is estimated to have eased to 2.8%, in line with both ING and CNB expectations. Annual price dynamics of both goods and services slowed down in May. The foodstuffs segment showed a twofold dynamic, with processed food prices remaining benign while unprocessed food prices recorded both monthly and annual increases, pushed up by elevated energy prices.

Headline inflation is close to the target



Source: CZSO, Macrobond

Wage dynamics also punchy due to revisions

Annual wage dynamics quickened to 8.1% in the first quarter of 2026, delivering an increase of 6.4% in real terms. That said, the wage level throughout 2024-25 was revised downward. This brings the 1Q26 wage level roughly in line with our expectations, despite stronger quarterly and annual dynamics following the revisions.

In any case, wage dynamics represent a substantial input to CNB's decision function, with solid wage growth potentially justifying tighter monetary policy. Nevertheless, the employment rate in the 15-64 age group remained unchanged over the year despite solid economic expansion. Unemployment increased from the previous year, including the long-term component. Businesses are looking for employees with different skills than those available in the free labour force, and this long-lasting mismatch is deepening with the advent of new technologies.

Waiting for uber-hawkish comments to adjust

With headline inflation close to the target, softening core inflation along with price dynamics in the service sector, we still see no change to the policy rate as the right answer to the current state of the Czech economy and the outlook. Continued tensions surrounding the Strait of Hormuz may still prompt weakness in the global economy and waning demand for Czech exports – likely materialising in the second and third quarters – alongside dwindling preliminary indicators and subdued real GDP figures. Given the mismatches in the labour market, another bleak period for manufacturing would result in a rise in the unemployment rate; the services sector seems largely saturated when it comes to further absorption of the free labour force.

Yet, in light of the latest hawkish comments from CNB board members, a June hike certainly cannot be ruled out – particularly as factors like ample wage growth or signs of an overheating economy could be used to justify such a move. We take the position that the CNB isn't currently under pressure to tighten the monetary policy setup. To wait and gain a thorough understanding of the full impact of recent geopolitical developments on economic activity and the labour market is something of a luxury worth taking advantage of. At this point, we await further commentary, with forward guidance set to serve as a subtle but powerful art in what's likely to be a lively CNB meeting. In short, no change to rates remains our base case – although we are ready to adjust our view should a more decisively hawkish tone emerge.

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